

03 Underwriting Memo

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Prepared by Scenario credit analyst

For Scenario Lender D01 credit committee

SYNTHETIC DEMO. The borrower Duolingo Learning Services LLC and Scenario Lender D01 are invented. No affiliation, subsidiary relationship, guarantee or actual financing by Duolingo Inc is asserted. All loan terms, financial figures, people roles, reports and events in documents 02 to 09 are fictional. Document 01 supplies real business background only.

Recommendation and scope

Approve the fictional \$60.0 million facility under document 02, supported by the opening financial model in document 04 and the policy in document 05. This approval exists only inside the scenario. Public Duolingo business descriptions in document 01 provide context; the entity, business scale, exposure percentages and all figures below are invented. The loan refinances \$40.0 million of prior fictional debt and adds \$20.0 million of liquidity. There is no real-company guarantee.

Opening position

At closing, bank cash is \$42.0 million, including \$4.0 million restricted for a processor reserve. Unrestricted Cash is \$38.0 million. Debt is \$60.0 million. The twelve-month EBITDA used for the closing illustration is \$36.0 million, giving illustrative Net Leverage of 0.6111 times. The contractual maximum is 2.50 times at specified quarter ends. The opening cash headroom is \$13.0 million above the \$25.0 million floor. The six-month base forecast ends with \$45.4250 million of Unrestricted Cash. These are scenario values, not Duolingo disclosures.

A1 Trial conversion

The approved base case assumes that 8.00% of 70,000 eligible trial accounts each month become paying annual accounts under C04's finalized-cohort definition. This contributes 5,600 new annual accounts per month. It is a forecast assumption, not a claim that all active learners will pay. A rate below 7.00% merits analyst review under policy; a rate below 6.00% activates the separate C04 notice duty. Sources: document 04 Drivers; C03 and C04.

A2 Annual renewals

The approved base case assumes 92.00% of 70,000 expiring annual accounts renew each month. The expected 5,600 nonrenewals are offset by new trial conversions, leaving 840,000 paid accounts. The analyst review level is 90.00%; the contractual C04 notice threshold is 88.00%. Strong renewals may partly offset weaker conversion but do not establish recovery of conversion itself. Sources: document 04 Drivers and Operating Forecast; C03 and C04.

A3 Collections and platform exposure

Gross annual billings average \$12.6 million per month in the base case, at \$180 per new or renewed annual contract. The scenario settlement mix is Platform A 60%, Platform B 25% and direct web 15%. These labels are fictional channels and the percentages are not Duolingo's actual mix. Weighted processing fees are assumed at 20% of subscription billings; processor receivables remain \$6.0 million. Base-case growth in users has no direct cash-flow effect until it changes paid purchases or advertising collections. Sources: document 04; C01, C03 and C08.

A4 Service cost

Hosting and AI-service expenditure is assumed at \$3.15 million per month. A new model provider or heavier free-user usage could increase costs without increasing paid billings. A run rate over \$3.6 million merits investigation; this policy review level is not a covenant. No productivity or vendor savings are included without supporting records. Sources: document 04; C03 and C05.

A5 Liquidity

The base forecast keeps Unrestricted Cash at or above its \$38.0 million opening level. The assumption depends on paid collections, the timing of annual subscriptions, operating costs and scheduled investment. The \$38.0 million base expectation, \$32.0 million forecast reporting trigger and \$25.0 million actual covenant floor are distinct. Sources: document 04 Cash and Balance Sheet; C01, C02, C05 and C06.

A6 Reporting

The scenario finance team can reconcile trial and renewal cohorts after the seven-day payment window and deliver management accounts within 20 calendar days of month-end. C04 and C05 may require information sooner than the next monthly report. Delayed information warrants a request for evidence rather than an assumed economic deterioration. Sources: document 02 C03 to C05 and C08.

Dependencies and uncertainties

Trial conversion and renewals jointly influence the paid-account base, subscription billings and cash. Hosting expenditure separately affects cash and earnings. Collecting an annual payment is not the same as recognizing the full payment as current revenue. Do not add a billings shortfall and the related reduction in subscription revenue as if they were two independent cash losses. Platform receivables require a settlement bridge before any delay is treated as a permanent loss.

The real filing does not establish the fictional Borrower's financial position, customer cohorts, rights to technology or access to a parent's cash. The scenario assumes it has sufficient lawful rights to operate its fictional learning service for the loan term; no actual transfer or licensing arrangement with Duolingo Inc is asserted. The hypothetical operation uses the disclosed business model only as inspiration.

Approved baseline

For the simulation, approve A1 to A6 as the initial underwriting assumptions on October 1, 2026. Preserve their original wording. Subsequent reports may support, weaken or contradict them without rewriting the original memo. The next scheduled review is the October management report; no subsequent outcome is assumed here.